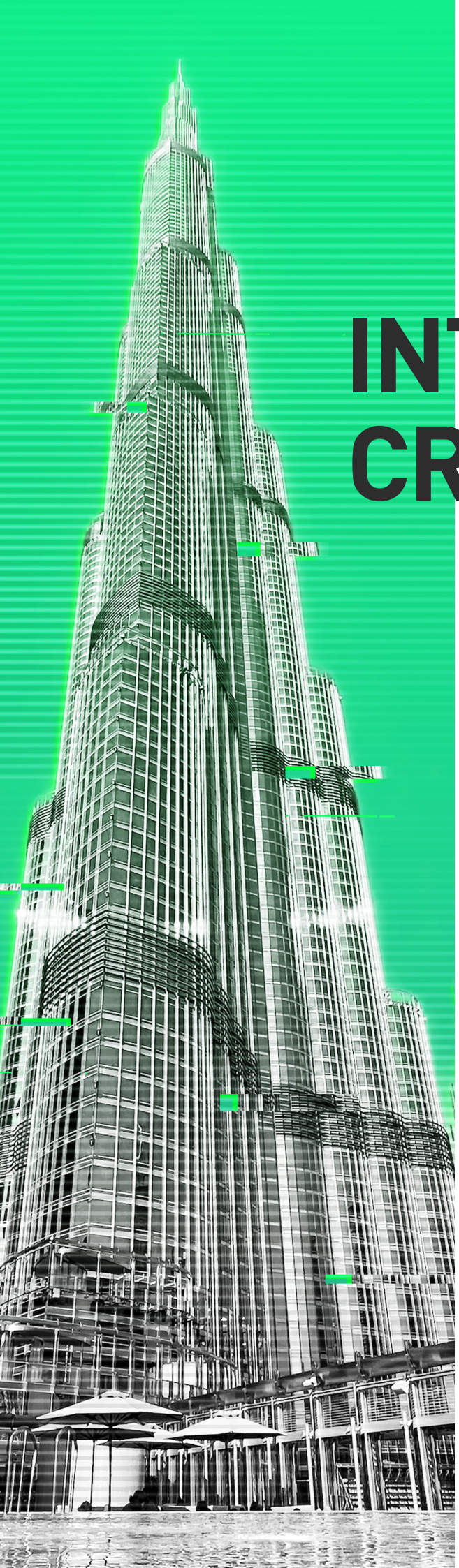


KUCOIN

INTO THE CRYPTOVERSE

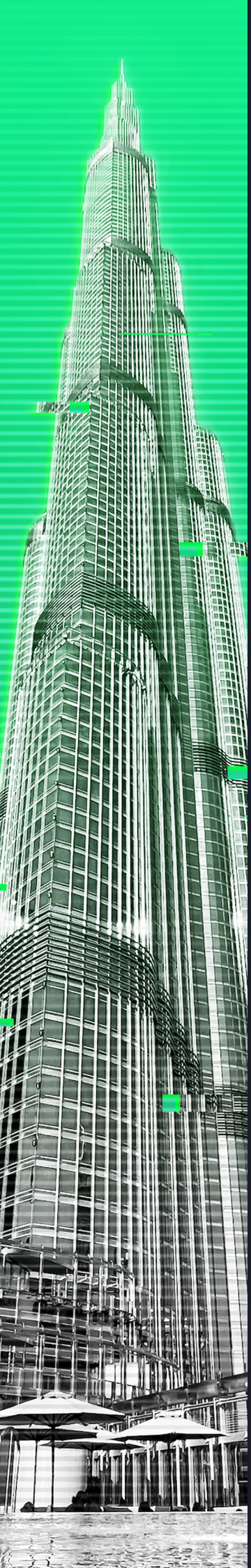
UNDERSTANDING CRYPTO USERS IN UAE

UAE EDITION

17th EDITION

WHY WE DO THIS

At KuCoin, we firmly believe that fostering a deeper understanding of the crypto community is fundamental to shaping a more inclusive and responsible financial ecosystem. As the crypto landscape continues to gain momentum, it is imperative to comprehend the behavior, preferences, and motivations of crypto users in different regions. In response to this growing need for insights into the dynamic world of crypto, we proudly present "Into the Cryptoverse", a survey report series aiming at shedding light on the evolving crypto market. Our goal is to provide a comprehensive and data-driven perspective that not only benefits the crypto community but also informs policymakers, regulators, and stakeholders. By conducting surveys like the one in the United Arab Emirates, we aim to bridge the gap between perception and reality, enabling informed decisions and fostering an environment of trust and collaboration in the crypto space. Understanding the unique challenges and opportunities that each region faces is central to our commitment to advancing the crypto industry while ensuring its responsible growth.

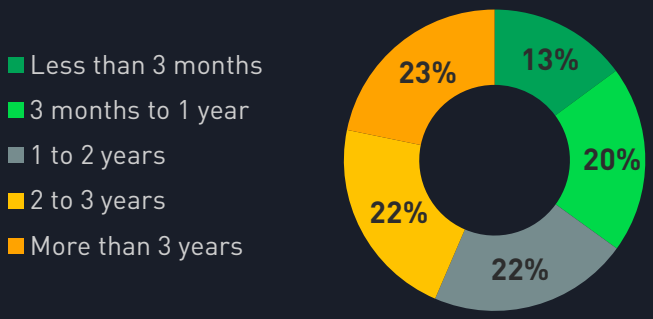


METHODOLOGY

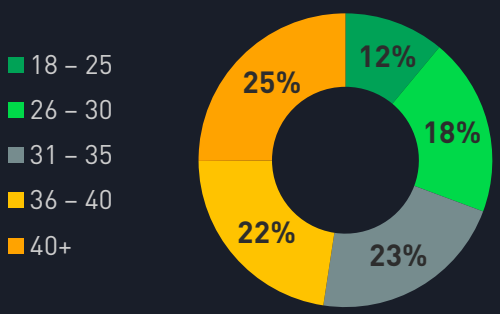
This survey report is based on a total sample of 383 crypto investors in United Arab Emirates. Survey respondents were polled on Twitter / X from September 28th to October 16th, 2023.

RESPONDENT PROFILE

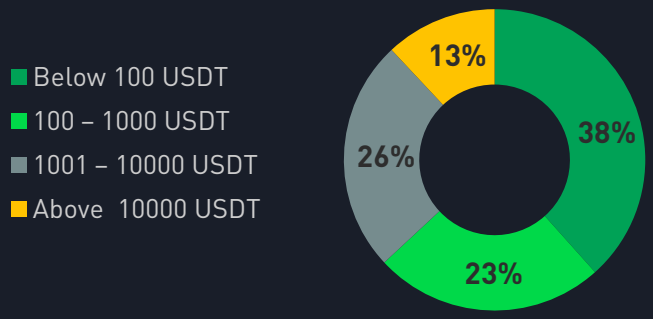
Crypto Investment Experience



Age



Crypto Investment Amount



WHAT IS IN THIS REPORT

Motivations of Crypto Investment

59% of UAE Crypto Users Are In For Long-term Investment; 29% Consider Crypto An Asset Storage Easier Than Traditional Finance

Challenges of Crypto Investment

48% of UAE Crypto Users Concern About Lack of Trust in Crypto Platforms; 26% Worry About Limited Education

Considerations For Crypto Platforms

63% of UAE Crypto Users Prioritize Security and 47% Prioritize Customer Support; Trust Is Essential in Crypto Platform Selection

Interested Crypto Use Cases

40% Prefer Using Crypto for Cross-border Remittances and Daily Transactions; Various Use Cases For Potential Wider Adoption

Crypto Investment Preference

72% of UAE Crypto Investors Choose Bitcoin, Followed by Ethereum at 52% and Stablecoin at 45%

Trends in Crypto Innovation

62% of UAE Crypto Users Eager for AI and Blockchain Integration; Blockchain-based Identity and Supply Chain Solutions Are Interested by A Third

Industries for Crypto Innovations

Over Half of UAE Crypto Users Believe Finance and Gaming Industries Will Be Revolutionized by Crypto; A Third Believe The Same For Real Estate and Education

Attitude Towards Crypto Regulations

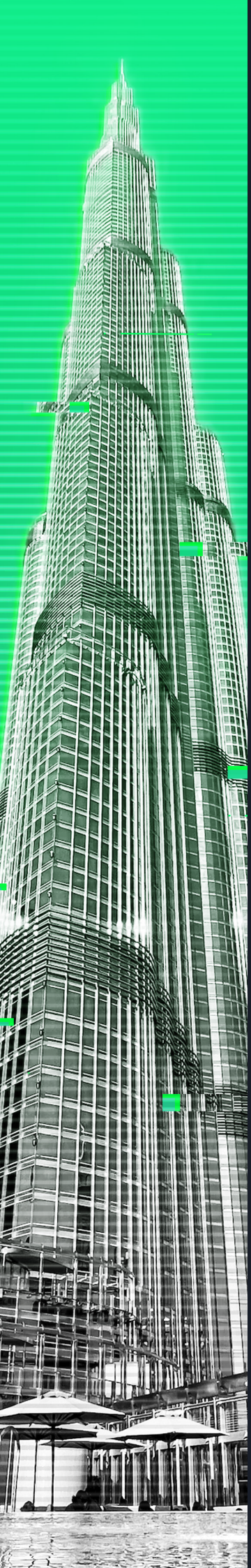
41% of UAE Crypto Users Support Clear Regulations, While A Nuanced Spectrum of Perspectives Towards Crypto Oversight Revealed

UAE's Market Strengths

53% Cite Access to Funding as UAE's Top Advantage in Crypto Industry Development, Followed by Strong Financial Infrastructure and Global Network

UAE's Market Challenges

32% Identify Lack of Crypto Education and Awareness as UAE's Top Challenge, Followed By Security Concerns and Trust Issues



KEY FINDINGS

Motivations of Crypto Investment

59% of UAE Crypto Users Are In For Long-term Investment; 29% Consider Crypto An Asset Storage Easier Than Traditional Finance

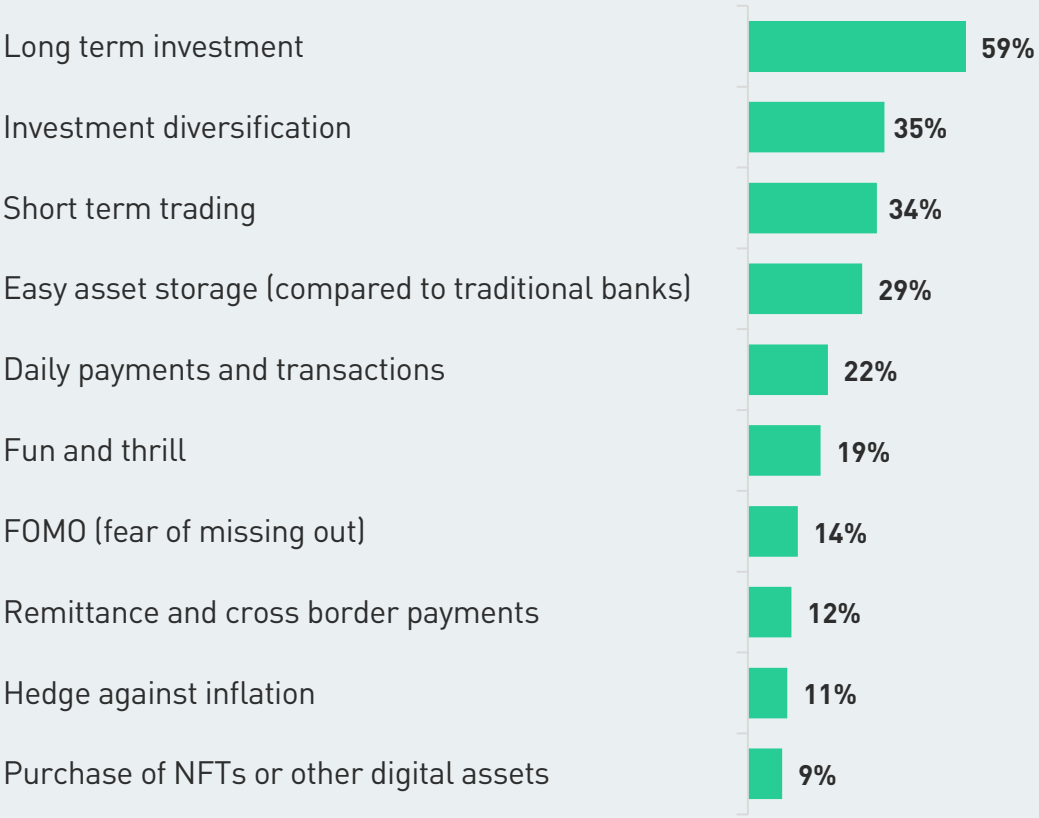
The survey reveals a diverse array of reasons for engaging with crypto. The majority of UAE crypto users (59%) engage in crypto for long-term investment purposes. This underscores a growing recognition of crypto as a store of value, reflecting the shifting sands of the financial landscape. Investors are increasingly turning to digital assets as reliable investment options.

A significant portion of respondents (35%) are drawn to crypto as a means to diversify investment portfolios, and 11% are primarily motivated by the desire to hedge against inflation. This signifies an awareness among UAE investors of the importance of crypto in risk management and growing wealth, which is a critical in a global financial environment where fiat currencies are often affected by inflationary pressures.

29% of the respondents find crypto to be a convenient way to hold their assets, especially when compared to traditional banks, as crypto is being recognized with many more uses beyond mere financial investment. 22% engage in crypto for daily payments and transactions, 12% for cross-border remittances, and 9% for buying NFTs and other digital assets. This underscored the practicality and efficiency that crypto offer as an alternative to traditional financial services.

On the flip side, there is a substantial segment (34%) of users actively engaging in short-term trading, suggesting a vibrant crypto trading community in the UAE. 19% invest in crypto for the sheer excitement it offers, and 14% are primarily driven by the "fear of missing out (FOMO)", indicating the influence of market sentiment and emotions in crypto investment decisions.

Why do you engage in crypto?



Survey among 383 crypto investors in UAE during October 2023

48% of UAE Crypto Users Concern About Lack of Trust in Crypto Platforms; 26% Worry About Limited Education

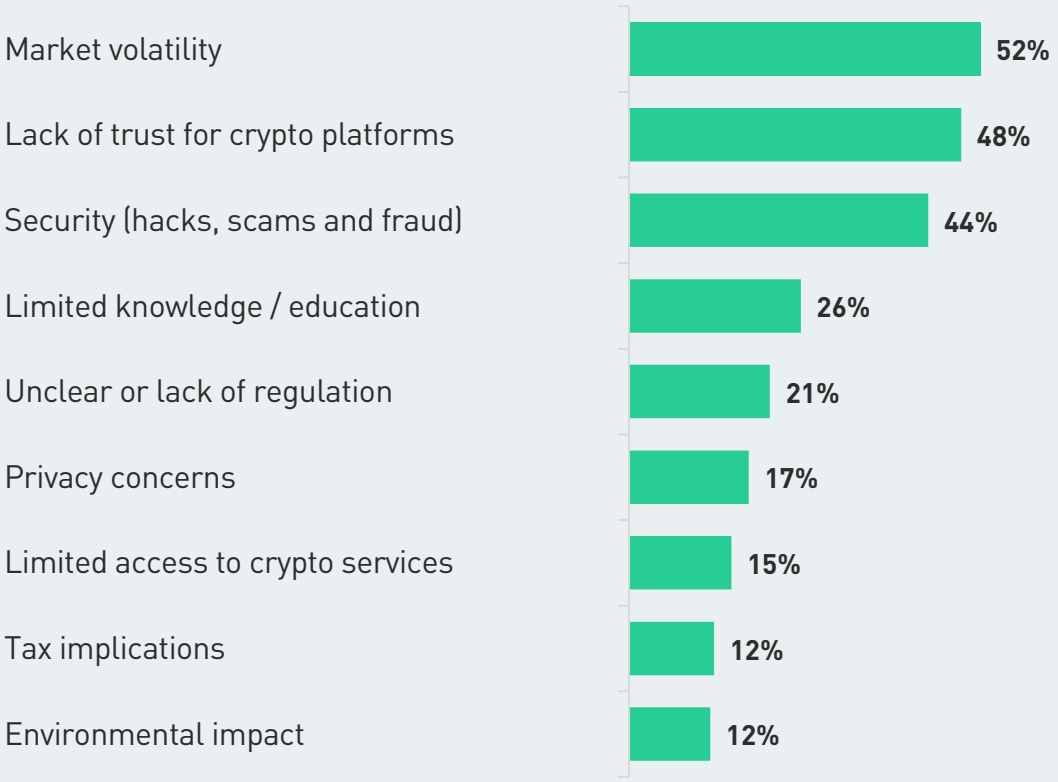
The survey delved into the challenges faced by crypto users in the UAE, shedding light on prominent issues that need attention to ensure the stability and long-term sustainability of the crypto ecosystem.

Market volatility emerges as the most significant challenge, with 52% of respondents expressing concerns. While volatility presents challenges, it also underscores the potential for substantial gains in the crypto market, especially for those engaged in short-term trading.

The most striking insight is the substantial lack of trust in crypto platforms, surpassing security concerns. A remarkable 48% of respondents express a lack of trust in cryptocurrency platforms, while 44% cite security-related issues, such as hacks, scams, and fraud, as concerns. The crypto industry's relatively new and evolving nature, coupled with occasional high-profile security breaches and scams, contributes to this distrust. Building trust within the crypto ecosystem is crucial to encourage broader adoption.

Limited knowledge and education are noted as challenges by 26% of respondents, indicating a need for improved awareness and education regarding cryptocurrencies. Providing users with a better understanding of the technology and its risks is vital for their confidence and security. Additionally, 21% of users express concerns about the regulatory environment surrounding cryptocurrencies. The lack of clear regulations in the crypto space can create uncertainty and potential legal and security issues for users. Clarity and coherence in regulations are vital to ensuring a safe and well-regulated crypto landscape in the UAE.

What are your concerns/ challenges around crypto?



Survey among 383 crypto investors in UAE during October 2023

Considerations For Crypto Platforms

63% of UAE Crypto Users Prioritize Security and 47% Prioritize Customer Support; Trust Is Essential in Crypto Platform Selection

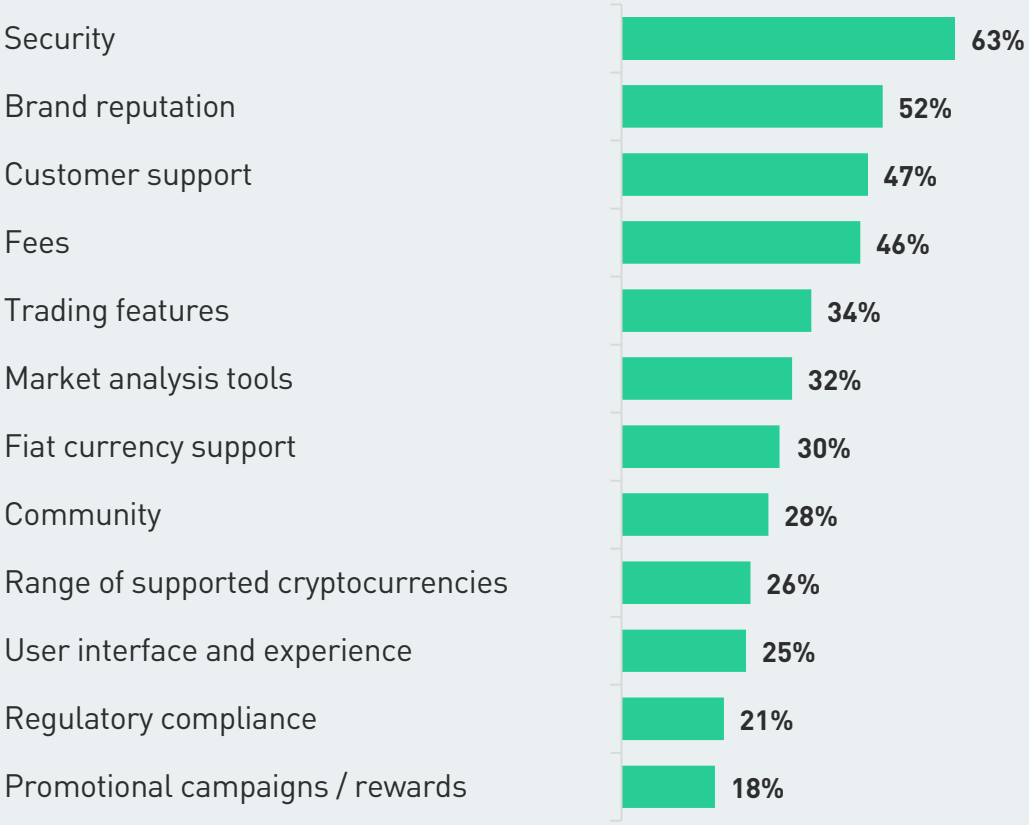
The study shows the paramount importance of security and trust in the selection of crypto exchanges by users in the UAE. Security reigns supreme, with 63% of UAE crypto users citing it as the top consideration when choosing a crypto exchange. This mirrors a global trend where investors emphasize the protection of their digital assets. Security measures inspire confidence and trust among users, a critical factor for the growth and adoption of cryptocurrency exchanges.

Brand reputation follows closely, with 52% of users taking it into account when selecting a crypto exchange. A reputable brand not only reflects trustworthiness but also conveys reliability and a commitment to a secure trading environment. Additionally, customer support is paramount, with 47% of users prioritizing it. Efficient and responsive customer support can make a significant difference in addressing user concerns and issues.

Cost-effectiveness is essential for 46% of users, highlighting the importance of transparent fee structures in the decision-making process. Additionally, 34% of users value advanced trading features, while 32% look for robust market analysis tools. This suggests a sophisticated and demanding user base in the UAE, seeking exchanges that offer a comprehensive suite of tools for informed decisions and an exceptional trading experience.

In summary, the study reveals that the UAE crypto community places security and trust at the forefront of their selection criteria for crypto exchanges. These findings not only reflect the importance of safeguarding digital assets but also the growing sophistication and discernment of users in the region, seeking exchanges that offer a complete and reliable trading experience.

What do you consider when choosing a crypto exchange?



Survey among 383 crypto investors in UAE during October 2023

Interested Crypto Use Cases

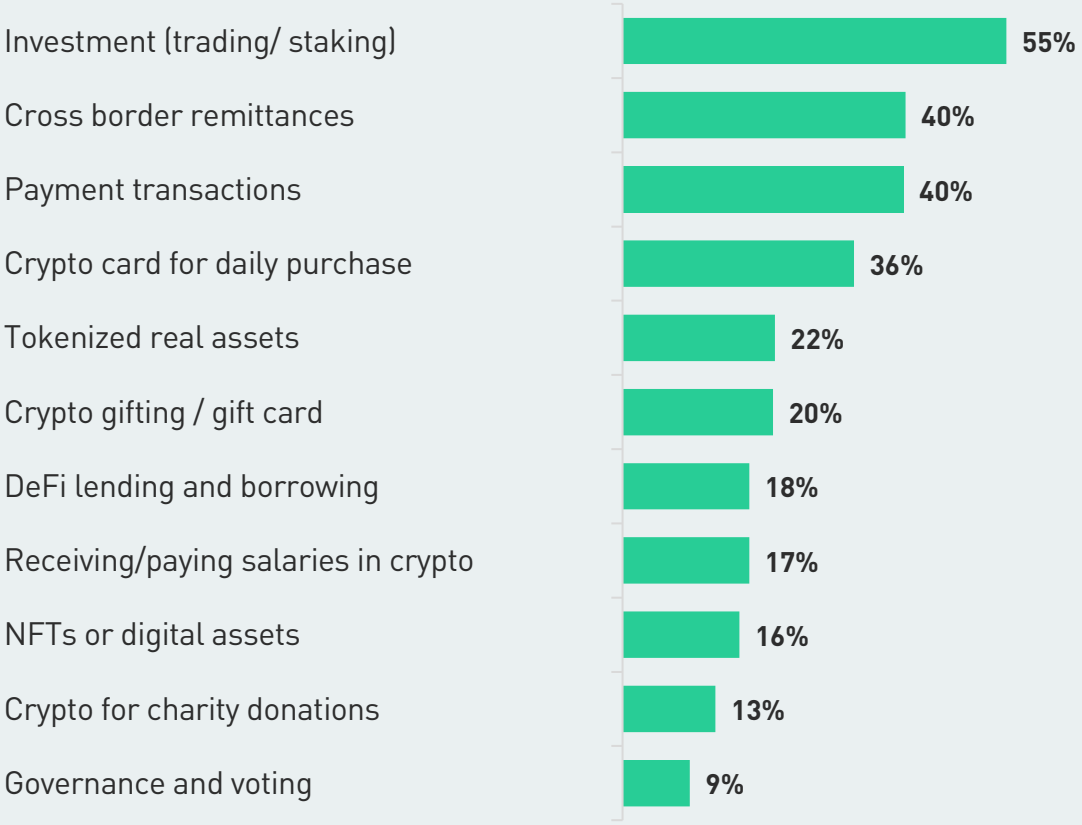
40% Prefer Using Crypto for Cross-border Remittances and Daily Transactions; Various Use Cases For Potential Wider Adoption

UAE is witnessing a significant surge in diverse crypto interests and potential use cases, as revealed by the survey. A striking 55% of respondents express a keen interest in cryptocurrencies as investment tools. Beyond investment, a strong appetite for remittances, everyday transactions, and purchases is taking shape, signaling the increasing integration of crypto into the UAE's financial landscape.

For cross-border remittances, a substantial 40% of survey participants see cryptocurrencies as a pathway to more efficient and cost-effective international money transfers. 40% find the practical utility of cryptocurrencies appealing for payment transactions. 36% are open to using crypto cards for daily purchases, highlighting a growing desire for the practical application of cryptocurrencies in daily financial activities. What's particularly noteworthy is the emerging interest in various use cases. Tokenized real-world assets, decentralized finance (DeFi) lending and borrowing, and non-fungible tokens (NFTs) are gaining recognition. These innovations signify a profound understanding of the transformative potential of blockchain technology in revolutionizing traditional finance.

Moreover, the survey reveals a rising willingness among UAE users to embrace digital assets in personal lives, with 20% interested in crypto gifting and 17% open to the idea of receiving and paying salaries in crypto. This expanding adoption is indicative of crypto moving from speculative assets to practical tools in the UAE. Lastly, the interest in crypto for charity donations (13%) and governance and voting (9%) underscores the UAE's recognition of blockchain's potential to enhance transparency, security, and efficiency in charitable activities and democratic processes. These diverse crypto interests not only reflect evolving financial perspectives but also signify a broader acceptance of blockchain's role in various aspects of life in the UAE.

Which uses of crypto are you interested in?



Survey among 383 crypto investors in UAE during October 2023

Crypto Investment Preference

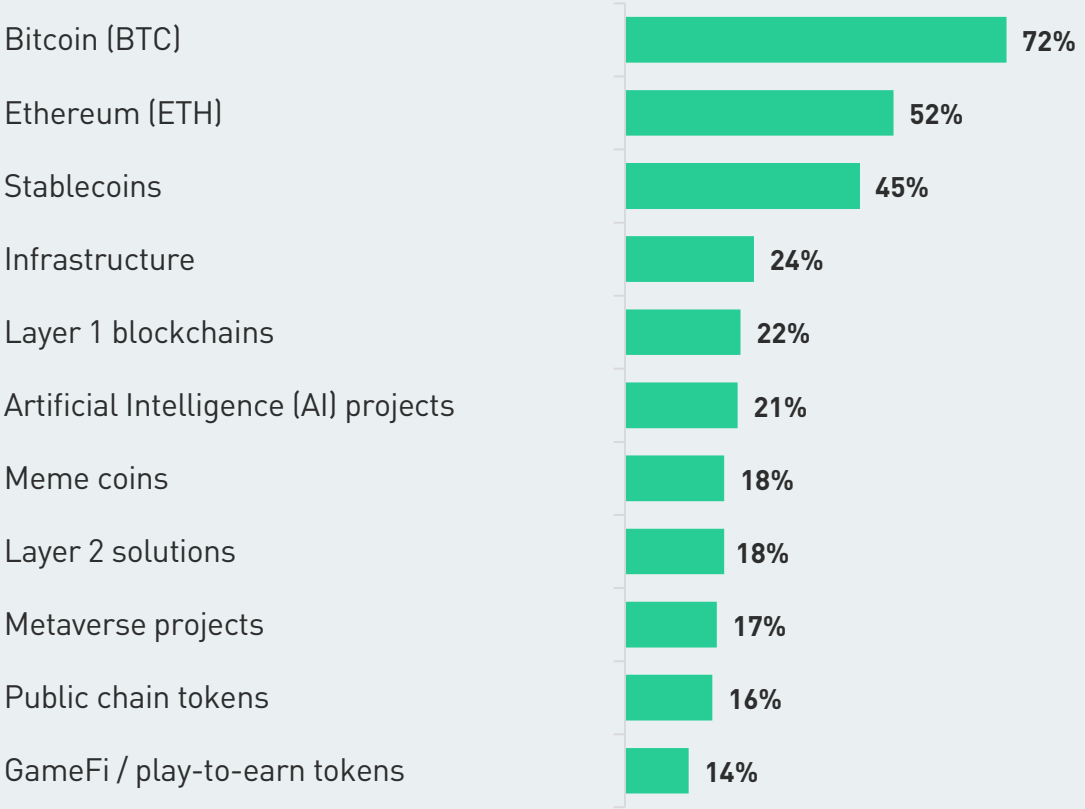
72% of UAE Crypto Investors Choose Bitcoin, Followed by Ethereum at 52% and Stablecoin at 45%

The survey paints a picture of crypto investment landscape in the UAE. These findings not only reflect the evolving crypto market but also suggest the UAE's readiness to embrace the innovative potential of blockchain technology in various applications. Bitcoin, often referred to as "digital gold," remains the most favored cryptocurrency investment choice among UAE users, with a robust 72% expressing a preference for it. This resounding support reflects Bitcoin's global reputation as a reliable store of value, exemplifying its enduring status as a digital asset of choice.

Notably, Ethereum has emerged as the second most preferred cryptocurrency investment option, with 52% of UAE users indicating their preference for it. Ethereum's versatility and utility, including its smart contract capabilities, have struck a chord with UAE investors. Interestingly, stablecoins are slightly behind at 45%, indicating that users in the UAE may place more value on blockchain applications over stable value preservation.

Infrastructure projects and Layer 1 blockchains also feature prominently in UAE investment preferences, with 24% and 21% of respondents, respectively, expressing interest. This reflects a forward-looking approach, with UAE users recognizing the critical role of foundational projects in the blockchain ecosystem's growth and development. The appetite for AI-related crypto projects, as indicated by 22% of respondents, underscores the UAE's inclination towards the integration of artificial intelligence within blockchain technology, which holds the potential for advanced data analysis and automation, showcasing a user base that seeks innovative and dynamic applications of blockchain.

Which types of crypto projects do you prefer to invest in?



Survey among 383 crypto investors in UAE during October 2023

Trends in Crypto Innovation

62% of UAE Crypto Users Eager for AI and Blockchain Integration; Blockchain-based Identity and Supply Chain Solutions Are Interested by A Third

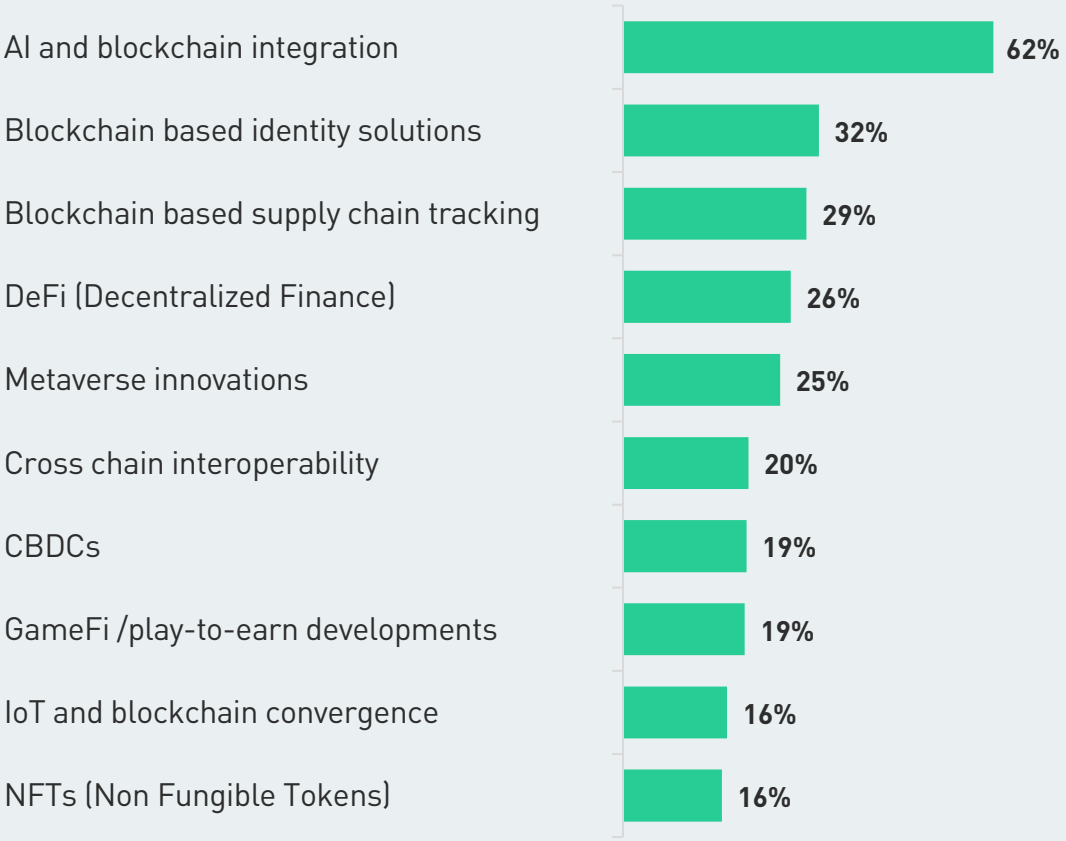
UAE is abuzz with excitement about various crypto innovations, as revealed by the survey. Topping the list is the integration of artificial intelligence (AI) with blockchain, with a substantial 62% of respondents expressing enthusiasm. This reflects a strong interest in harnessing AI's potential to enhance data analysis and automation within the crypto space.

Blockchain-based identity solutions also garnered significant attention, with 32% of participants excited about the prospects. The demand for secure and decentralized identity verification methods is evident, offering users more control over their personal data. Additionally, supply chain tracking using blockchain technology is on the radar of 29% of respondents, highlighting the desire for increased transparency and traceability in supply chain management.

Decentralized Finance (DeFi) remains a compelling area, capturing the interest of 26% of respondents. DeFi innovations offer opportunities for more inclusive and accessible financial services, from lending and borrowing to yield farming. The emergence of the metaverse, a digital realm created by blockchain and related technologies, is also generating enthusiasm among 25% of participants. These innovations represent a growing interest in virtual worlds and digital ecosystems, expanding beyond gaming into various domains such as social interactions, commerce, and education.

These trends underscore the UAE's recognition of the potential and versatility of blockchain technology. Whether through the convergence of AI and blockchain, the security of blockchain-based identities, or the transparency of supply chain tracking, these innovations are reshaping the cryptocurrency landscape and paving the way for more advanced and inclusive financial and digital experiences.

Which types of crypto projects do you prefer to invest in?



Survey among 383 crypto investors in UAE during October 2023

Over Half of UAE Crypto Users Believe Finance and Gaming Industries Will Be Revolutionized by Crypto; A Third Believe The Same For Real Estate and Education

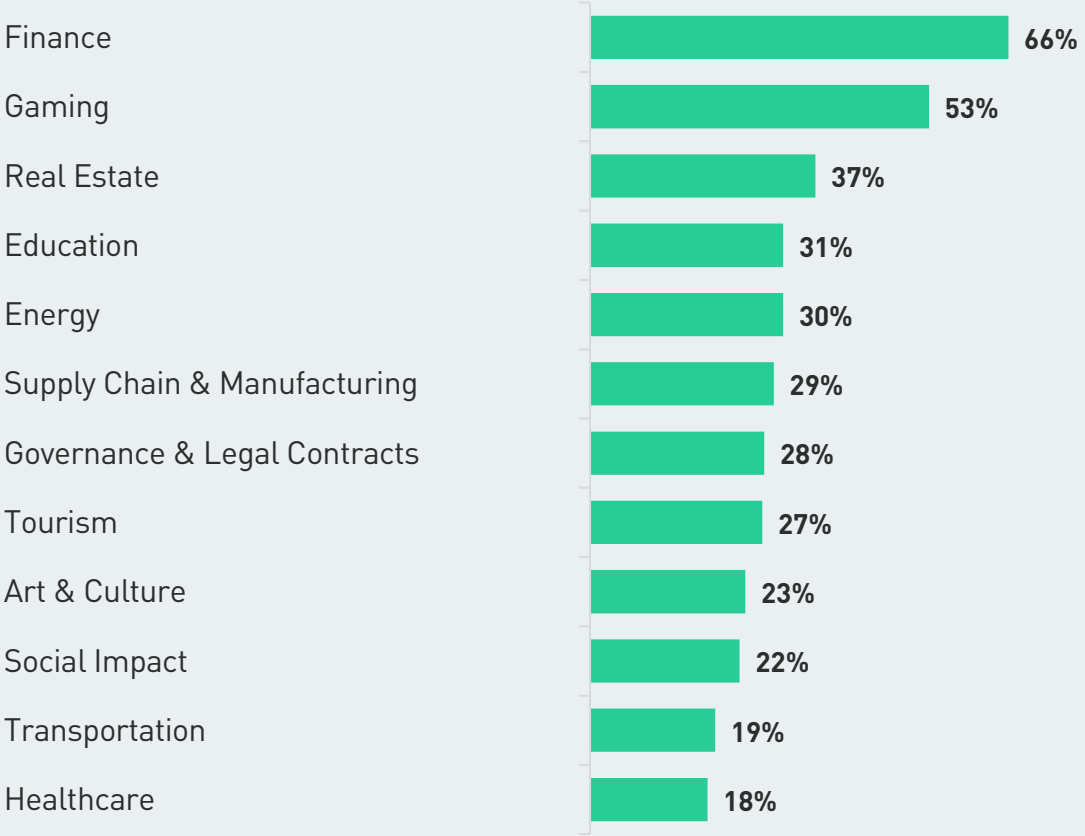
The survey provides valuable insights into the sectors where cryptocurrency is expected to play a pivotal role. The standout finding is the overwhelming belief in its potential impact on the financial industry, with 66% of respondents acknowledging its significance. This underscores the transformative potential of crypto in reshaping traditional financial services.

Gaming emerges as the second most influential sector, with 53% of respondents recognizing the pivotal role of cryptocurrency. The gaming industry's integration with blockchain and cryptocurrencies has paved the way for innovative concepts like GameFi and play-to-earn, enhancing user experiences and providing novel revenue opportunities.

Real estate is another sector poised for substantial changes, with 37% of respondents acknowledging its pivotal role. Blockchain's transparency in property transactions and reduced friction in the buying process could revolutionize the real estate industry, making transactions more efficient and secure. Education (31%), energy (30%), supply chain & manufacturing (29%), tourism (28%), governance & legal contracts (27%), social impact (23%) and art & culture (22%) also garner attention, each with unique applications of cryptocurrency and blockchain.

These insights signify a growing awareness of blockchain's potential impact across sectors and highlight the ever-expanding influence of cryptocurrency in today's world. As industries embrace blockchain and cryptocurrency, we are likely to witness transformative changes in various facets of life, from how we transact in real estate to the way we experience entertainment and engage in governance processes.

Which industries do you see crypto play a pivotal role?



Survey among 383 crypto investors in UAE during October 2023

Attitude Towards Crypto Regulations

41% of UAE Crypto Users Support Clear Regulations, While A Nuanced Spectrum of Perspectives Towards Crypto Oversight Revealed

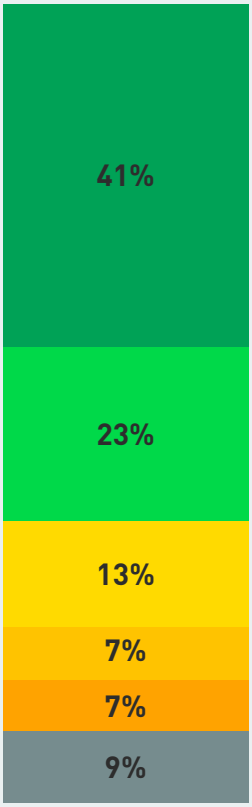
The survey also provides a revealing glimpse into the diverse array of attitudes towards crypto regulations, reflecting the nuanced nature of the crypto industry. A substantial 41% of respondents express strong support for clear and comprehensive regulations, emphasizing the need for structured oversight, believing it will foster industry growth and protect investors.

23% of participants advocate for self-regulation, asserting that the crypto industry should establish its own standards. It underscores a preference for industry-led governance, highlighting the belief that the crypto community can effectively address its challenges without external regulation. 13% take a middle-ground approach, endorsing pragmatic and reasonable regulations with an emphasis on fairness and clarity, striking a balance between regulatory oversight and the need for a flexible and adaptable crypto industry.

On the flip side, 7% are staunchly against regulations, fearing they may stifle innovation and impede financial freedom. Another 7% express skepticism and reservation regarding regulations, expressing concerns about potential negative impacts, suggesting the importance of careful consideration and assessment of the consequences of regulatory actions.

In all, crypto users in UAE express a nuanced set of attitudes. Striking the right balance between comprehensive regulations, self-regulation, and pragmatic approaches is crucial for shaping the future of the crypto industry in the UAE. It is evident that discussions around crypto regulations in the UAE are intricate and require a delicate balancing act to address the diverse needs and expectations of stakeholders.

Which describes your attitude towards crypto regulations?



- I favor clear and comprehensive regulations for industry growth and investor protection
- I support self regulation and believe crypto industry should establish its own standards
- I accept pragmatic and reasonable regulations, with emphasis on fairness and clarity
- I am reserved and skeptical about regulations, concerning for potential negative impacts
- I am against regulations since they stifle innovation and financial freedom
- I do not have a stance for crypto regulations

Survey among 383 crypto investors in UAE during October 2023

UAE's Market Strengths

53% Cite Access to Funding as UAE's Top Advantage in Crypto Industry Development, Followed by Strong Financial Infrastructure and Global Network

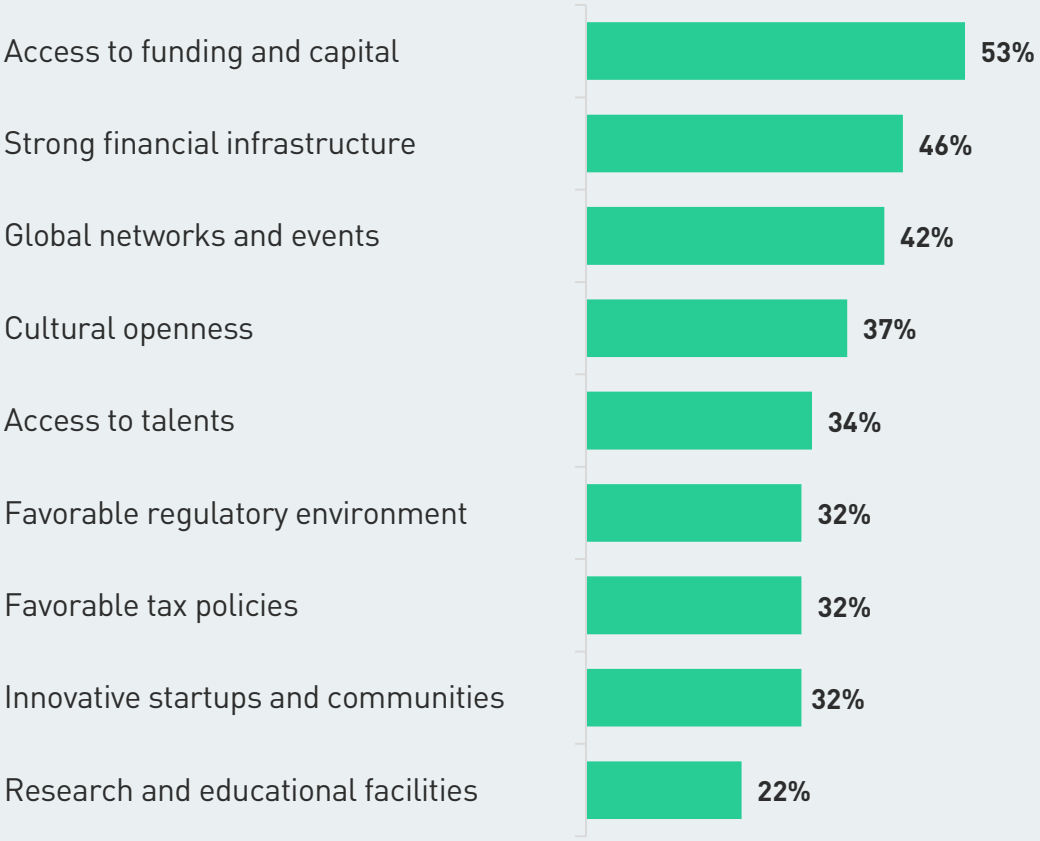
The UAE is making waves as an emerging epicenter for crypto industry development, backed by a distinctive set of advantages that distinguish it on the global stage. The survey dives into these pivotal strengths that make the future of the crypto sector in the UAE looks remarkably promising.

Foremost among these advantages is the access to funding and capital, a cornerstone recognized by 53% of respondents. This financial backbone offers crypto startups and entrepreneurs the resources they need to innovate and scale their ventures, setting the stage for success. The UAE's robust financial infrastructure, highlighted by 46% of respondents, forms a strong foundation for crypto companies, ensuring seamless transactions and fosters trust, creating an ideal environment for blockchain innovations.

The UAE's open cultural ethos contributed by its multicultural society, noted by 37%, fosters diversity and encourages fresh perspectives, making it a fertile ground for crypto development. Furthermore, access to a talented workforce, a favorable regulatory environment and tax policies, each acknowledged by 34% and 32%, further enhance the UAE's appeal as a crypto hotspot.

Global networks and events, marked by 42%, further underscore the UAE's crypto appeal. These international networks and industry events create invaluable opportunities for knowledge exchange, collaboration, and fostering global relationships. In addition, the presence of innovative startups and communities, recognized by 32% of users, fuels a dynamic crypto ecosystem that promotes collaboration and knowledge sharing, providing access to a wealth of insights, innovations, and partnerships, propelling the UAE's status as a thriving crypto ecosystem onto the world stage.

What are UAE's advantages in developing its crypto industry?



Survey among 383 crypto investors in UAE during October 2023

UAE's Market Challenges

32% Identify Lack of Crypto Education and Awareness as UAE's Top Challenge, Followed By Security Concerns and Trust Issues

While the UAE stands as a promising frontier for the crypto industry, it's not without challenges. The survey delves into these obstacles, shedding light on the complexities that the nation must navigate to fully cultivate its crypto ecosystem.

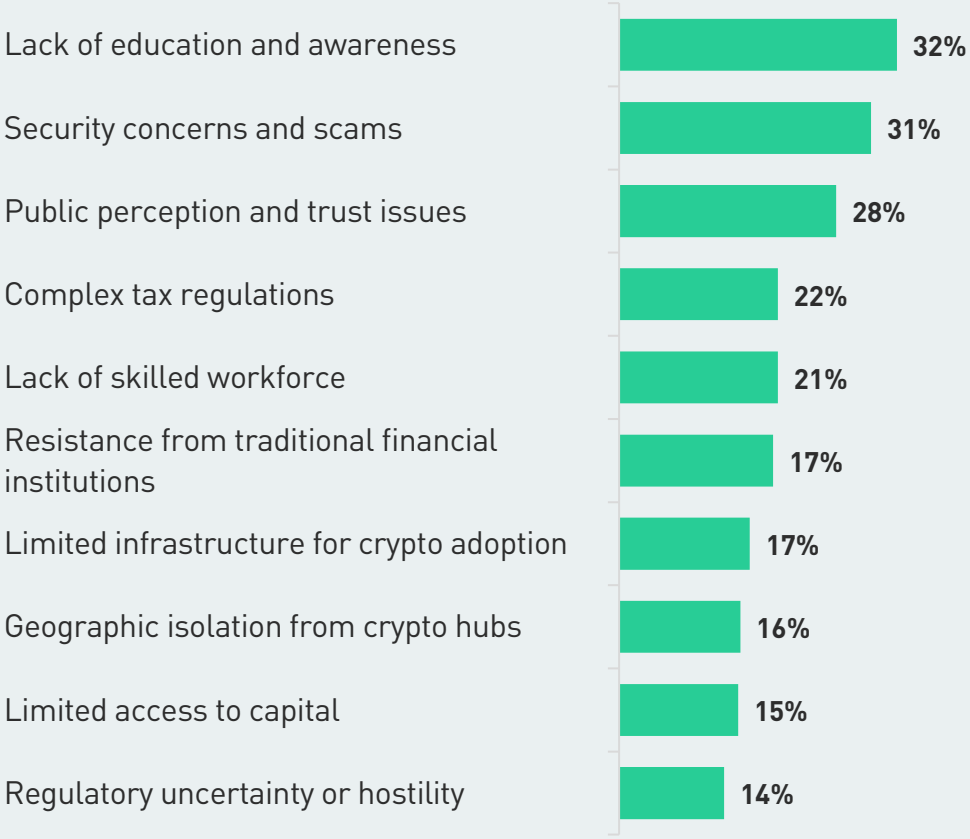
One of the most prominent hurdles is the lack of education and awareness, as noted by 32% of respondents. Bridging this knowledge gap is pivotal to empower individuals and businesses with a deeper understanding of crypto and blockchain technology, making them more adept participants in the crypto space.

Security concerns and scams rank high, with 31% expressing these worries. Public perception and trust issues, noted by 28%, represent an intricate challenge. Building robust security measures and effective consumer protection strategies, as well as changing perceptions around crypto is essential for broader adoption, emphasizing the need for transparency and education.

A lack of a skilled workforce (22%), complex tax regulations (21%), and resistance from traditional financial institutions (17%) form a trinity of obstacles. Overcoming these issues will require streamlining tax frameworks, nurturing talent, and fostering collaborative partnerships with traditional financial players. 17% point to limited infrastructure for crypto adoption, which indicates the necessity for developing a supportive ecosystem.

Finally, geographic isolation from major crypto hubs, limited access to capital and regulatory uncertainty or hostility are considered less of a challenge in UAE but emphasize the importance of connective network and the need for clear regulatory frameworks to attract businesses and investments to the UAE.

What are UAE's challenges in developing its crypto industry?



Survey among 383 crypto investors in UAE during October 2023

ABOUT KUCOIN

KuCoin is a global cryptocurrency exchange for numerous digital assets and cryptocurrencies. Launched in September 2017, KuCoin has grown into one of the most popular crypto exchanges and already has over **30 million registered users** across more than **200 countries and regions** around the world.

Known as the "People's Exchange", KuCoin is a global crypto exchange with its operational headquarter in Seychelles, providing users with 24/7 multi-language customer services. Meanwhile, KuCoin has established **24 local communities** in Europe, Southeast Asia, and other regions, providing users with highly localized services.

As the home of crypto gems, KuCoin has supported over **700 projects** with 1,300+ trading pairs. Over **200 projects had their world premiere listing** on KuCoin

In 2022, KuCoin raised **over $150 million** in investments through a **pre-Series B round**, bringing total investments to $170 million with Round A combined, at a total valuation of $10 billion. KuCoin is currently one of the **top 5 crypto exchanges** according to CoinMarketCap. In 2023, KuCoin is named one of the **Best Crypto Exchanges by Forbes** and recognized as a highly commended global exchange in **Finder's 2023 Global Cryptocurrency Trading Platform Awards**.

KUCOIN

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